



[Weekly Market Commentary](#)

Dear clients,

Next week will be extremely busy for markets on the back of the US elections on Tuesday (November 5) and the Federal Reserve meeting (November 6-7) immediately following those. While the combination of month-end portfolio rebalancing, disappointing earnings releases from key members of the “Magnificent Seven”, and uncertainty ahead of the US elections have led to some derisking this week, our long term view hasn’t changed. That is, we remain constructive over the next few months in the face of potentially greater deficit spending by the US government, which could boost assets denominated in USD such as crypto.

Going into next week, we think that market positioning remains fairly bullish, driven primarily by the \$5.3B of inflows into the bitcoin ETF complex in October. Most of this exposure appears directionally long, as the market cap growth of ETFs greatly exceeded the increase in CME bitcoin open interest. Meanwhile, options positioning also indicates bullish expectations through to year end, albeit with heightened implied volatility levels around the US elections.

Regarding those elections, Kara Calvert (Coinbase’s Head of US policy) also spoke on our [Coinbase Markets Podcast](#) earlier this week, walking through the key intersection points between US politics and crypto. These include the growing influence of the crypto voting bloc, the potential impact of different administrations on future crypto regulations, and the overall importance of election races beyond the top level presidential ticket.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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